



**EUROPEAN COUNCIL
THE PRESIDENT**

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"Visions, determination, results"

**President Herman Van Rompuy
addresses the EPC breakfast policy briefing
"Visions for Europe"**

I am happy to be able to share a few thoughts with you this morning.

I must start with a confession, however. The title "Visions for Europe" (as the organisers would like to have it) would be somewhat too grandiose for my introductory remarks. At breakfast time, I am not really in a visionary mood...

Former German Chancellor Helmut Schmidt once said: "If you have visions, go see a doctor." This was rather blunt -- true to Schmidt's style! -- and exaggerating in the other direction...

Political leadership does require an idea of the future, a faculty to project oneself forward into a reality which partly does not yet exist and is therefore "invisible". But one must always make sure such visions are linked to our present realities and to our past experiences.

In my experience, people will only be convinced by the path forward if they trust the person who proposes it. Trust is key. Some people trust leaders with the charisma of the prophet, "*le visionnaire*". Others trust someone on the basis of results. I like that better.

Moreover, in the EU we have this tendency to start internal debates about the goal, the nature and the architecture of our Union. Although one finds a lot of 'vision' in those debates, now is certainly not the moment for such exercises! The Lisbon Treaty has given us the outline for the way forward. We will maybe change a phrase or two (I will come back to that!) but the framework for future action is there.

That's why this morning I prefer to make a few comments on the basis of recent experiences. Experiences with the Lisbon Treaty after one year, for all of us in the Union and for myself in this job. (In fact, today it is almost a year to the day, since Catherine Ashton and I were elected by the European Council for our respective functions on 19 November 2009. So I'll give you a kind of birthday speech...)

P R E S S

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The first year of the Lisbon Treaty has been clearly marked by the crisis of the Eurozone. This does not make 2010 into a crisis year. On the contrary: we have shown how to deal with a crisis and we are coming stronger out of it.

The public debt crisis has occupied us in the European Council... from the very first meeting under my chairmanship in February (in the *Bibliothèque Solvay*)... all the way to the upcoming December meeting. Next month, we will decide on how to proceed with the limited Treaty amendment to find a permanent solution for the stability of the Eurozone.

The euro is the most visible and the most palpable sign of our common destiny. Sharing a currency means that the decisions of one, affect all. What happens with pensions or debt in one country, may affect the economy in another country. In good times and in bad times. The national and the European interest can no longer be separated; they coincide.

Until one year ago, all this was just knowledge – theoretical. In the spring crisis, it became an experience – unforgettable. Now, we have to act upon the fact – responsibly.

And that's exactly what we are doing. In the course of the year, the European Council has been working hard, we have taken determined action. This has been recognised, by our citizens and also on the global stage.

I could feel it at the G20 meetings. Before the summer, at the Toronto G20 summit meeting of June, the European Union was regarded as the "patient of the world". Last week in Seoul, this sentiment had completely disappeared. The European Union played its full role in the global discussion.

The governments and the Union as a whole have done the homework. One can see it in the figures.

Growth for 2010 is now projected at 1.8%. These projections are double compared to six months ago (even if developments remain uneven across countries). Most of our Member States are successfully implementing major reform both on the fiscal and on the economic front. We are not complacent knowing the problems in some EU countries but we are confident to overcome them. We also have the necessary instruments to intervene with, if needed and if requested.

Growth is now also more balanced. In the second quarter of 2010, the contribution of domestic demand to growth was higher than that of net exports. An internal rebalancing is taking place within the Eurozone while the current account of the balance of payment remains in equilibrium.

We have also done our collective homework, by improving European economic governance and making our economies more crisis proof. On the basis of the recommendations of my Task Force, the October European Council has taken important decisions, sealing a solid pact to strengthen the euro.

Let me mention the three crucial points.

First of all: We will better observe the economies of our countries, their competitiveness, the risks of housing bubbles and other vulnerabilities. We will act and correct if necessary. It is a real innovation!

Second point: we will strengthen the Stability and Growth Pact, to substantially increase fiscal responsibility and penalise irresponsibility. Sanctions will kick in earlier, on more grounds, and be decided more easily thanks to the reversed majority. It is a break-through.

Third point: we will establish 'a permanent crisis mechanism to safeguard the financial stability of the euro area as a whole'. As President of the European Council, I am currently undertaking consultations with the Heads of State and Government and the Commission President on the limited treaty change required to achieve this goal. We all want a robust and credible system to be in place in 2013. It is our duty.

Taken together, these proposals are the biggest reform of the Economic and Monetary Union since the euro was created. I think all who participated in the effort agree to that.

In the true spirit of the Lisbon Treaty, all institutions and Member States have worked together to achieve this result. Cooperation is the Leitmotif. Cooperation has always been my political 'way of life'. For instance, from the first day of my mandate, I established informal and structural contacts with the Commission, the European Parliament and the rotating Council Presidency. Without cooperation between the institutions and between the Member States and the institutions, the Lisbon Treaty cannot function.

Strangely enough, some in Brussels have claimed that the strengthening of the European Council has somehow undermined the traditional "community method" in favour of an "intergovernmental" Europe. Even the invitation for today's event makes a reference to this issue!

There are different answers to that. In many ways the European Council is not purely intergovernmental. It is not a summit of sovereign states in the manner of the G8 or the G20, but an institution, acting in the legal framework of the Union with its checks and balances. (That's one of the reasons I never use the term 'summits' for our European Council meetings: it suggests more drama than we need to do the work...).

The European Council is the place that brings together the different aspects of the Union's make up. After all, the President of the Commission is a full Member of the European Council. And the President of the European Council himself does not represent a Member State, but is chosen to work in the overall interest of the Union. It is also the place where you can coordinate both national and European policies, which is particularly important for macroeconomic policy and foreign policy.

Now why this persistent misunderstanding? I see two reasons for the perception of a shift of powers to the European Council.

The first one is simply because, in recent months, the main preoccupation of the European Union has been to do with macro economic governance. Macroeconomic policy is inevitably a matter of coordinating national policies, given that 98% of public spending in the EU is national or sub-national, while only 2% is carried out through the European budget. It is therefore natural that the European Council plays a significant role. Coming back to the eurocrisis: who else but Prime Minister Papandreou was to defend the austerity measures in Greece? Who else but Chancellor Merkel was to convince public opinion, which was partly hostile, that we needed a crisis mechanism for Greece?

The second reason of the misperception is that we have been dealing with a crisis. It was the novelty of the situation that forced us to shoulder our responsibilities. We were in uncharted territory. We had to invent assistance mechanisms that did not exist. When you look for solutions outside the legal framework, the role of the European institutions naturally becomes secondary; they come back into play when the principle of embarking on the new approach is agreed. Therefore often the choice is not between the Community method and the intergovernmental method, but between a coordinated European position and nothing at all.

Of course the Lisbon Treaty is not just about the new role of the European Council. On the contrary! In my view, the big institutional "winner" of the Lisbon Treaty is the European Parliament. Not many observers had predicted this, but I think after almost one year it has become clear. Even if not all other political actors have completely integrated this change...

We have seen Parliament's new self-confidence in the discussions on the so-called Swift agreement, on Financial Regulation and on the Diplomatic Service. In each case there were quite intense debates, in which Parliament made its voice heard. But in the end a compromise was found -- and it is the result which counts.

Of course more can be said about the institutional innovations (and maybe we can do so during the discussion), but I should like to conclude my introductions with some words on how -- over the past year -- the European Union has dealt with foreign affairs.

It is clear the world is changing. We see it happening before our eyes. For instance

If we want to count in the world, then each of the 27 Member States and the EU institutions should give the same key messages. Not per se a single voice but a single message, delivered by all 27 countries. The Lisbon Treaty provides us with the political and diplomatic means to do this.

As European Union we have to punch our full weight. As we concluded in the European Council of 16 September, we will build our relations with strategic partners on reciprocity and mutual benefits. We therefore have to underpin our messages with concrete leverage and to enter into a game of negotiations and give-and-take. For example, what does a country like China or the USA want from us; under what conditions would it be acceptable, and what would we like to have in return?

Europe continues to show the citizens of the world the example of a democratic continent where human rights and the rule of law are firmly embedded. We remain the continent of human dignity and solidarity. However, at the same time we need to reason and act more in terms of strategy and our interests. Our values will be more respected if they are backed up by firmness.

In this field we can still make much progress. I intend to use the European Council meetings to that effect, to do what the Treaty asks us to do: giving strategic guidance.

The European Union wants to recognise the political role of the new emerging economies. The Europeans did so by establishing the G20 at the highest level, and by giving up two European seats in the IMF reform. This was a success of the G20 summit. However, we also think that the emerging countries in turn should then feel themselves more responsible for the world economy and be more active in 'world governance'. I hope they will understand that it is difficult to have simultaneously the rights of an underdeveloped country and of an advanced economy.

You will have noticed from the press reports that the main strategic tension at the G20 Summit in Seoul was between the USA and China. It took the form of a debate on the monetary strategy of quantitative easing ('QE2') versus the Chinese exchange rate. However one should not simplify those problems or overreact. Correcting imbalances will take time. We have to start by changing the trend. And for that we need a global strategy.

A first step has been the decision to launch a process of surveillance, as of 2011, with indicators and alerts. It is a bit like we do within the European Union for the economic governance -- except of course that the legal framework is not binding!

The European Union is adapting itself to new economic and global realities. The Lisbon Treaty offers tool which we now bring into practice. Safeguarding monetary stability. Securing jobs and growth for our citizens. Defending our interests and our values in the worlds.

Some of this work can be done in Brussels, between institutions and in the debates between our Member States. But the most difficult political work has to be done in the Member States themselves. In talking about the state of European politics, this should not be forgotten. And I am very optimistic about that.

People sometimes complain about a lack of political courage these days (presuming that one or two generations ago, this was a quality in abundance!). I, for one, have really been impressed over the last year by the political courage of our governments. All are taking deeply unpopular measures to reform the economy and their budgets, moreover, at a time of rising populism.

Some Heads of Government do this while being confronted with fierce opposition in parliament with massive protest in the streets with strikes on the workplace and fully knowing they run a risk of electoral defeat... -- and yet they push ahead. If this is not political courage, what is?

This public spirit bodes well for the work of our Union as a whole.

In the Eurocrisis, the European Union has proven its capacity to muster a great political determination. In the years ahead, whenever needed, we will continue to provide such proofs, together gathering whatever storm ahead. Based on one year of experience, that is my vision for the future!

[Watch the video](#)